Indo Count Industries Ltd

Concall tracker report, filed under Q2-2027 | Prepared 11 Nov 2026 | NSE: ICIL

1. Snapshot

Indo Count is one of India's biggest makers of bed sheets and bed linen for export, mostly to big US retailers. Over the last two years it has added a second leg in the US itself: factories making pillows, mattress protectors and comforters ("utility bedding"), plus licensed US home brands such as Wamsutta and Fieldcrest.

Number	Value	Plain read
Market cap	about ₹10,750 cr	What the whole company is worth on the stock market today; the stock is near its 52-week high after the Q2 results.
FY26 sales (standalone)	₹3,098 cr	Down about a sixth from FY25, the year US tariffs on Indian goods hit orders.
FY26 profit (standalone)	₹145 cr	Roughly 40% lower than FY25; the tariff year squeezed margins.
Operating margin	10% in FY26 vs 15-16% in FY23-24	Profit kept from each ₹100 of sales before interest, tax and depreciation fell by a third in the bad year.
P/E	about 42x trailing	Investors pay ₹42 for each ₹1 of last year's profit; that's pricey and assumes the recovery continues.
Net debt (consolidated, Sep 2026)	₹518 cr, about 0.2x equity	Lowest ever per the company; debt is not a worry.

2. Concall coverage

Quarter	Call date	Transcript read?
Q2 FY25 to Q3 FY26 (6 calls)	Nov 2024 to Feb 2026	Skimmed for guidance and promises
Q4 FY26	May/Jun 2026	Read: FY27 guidance given here
Q1 FY27	13 Aug 2026	Deep-read in full
Q2 FY27	5 Nov 2026	Transcript not yet filed (due within 5 working days). Results and press coverage used instead.

Eight calls across two years were used. Screener lists 43 transcripts in all, going back over a decade. The Q2 FY27 call was held but its transcript wasn't on Screener, the company site or the exchanges yet, so the newest numbers come from the results release and press coverage of it (DSIJ, Multibagg, 4-5 Nov 2026).

Latest update highlights: Q2 FY27 (results 4 Nov 2026, call 5 Nov 2026)

- Record quarter: consolidated total income ₹1,699 cr, up 57% on a year ago. That is the biggest quarter the company has ever had.
- Profit after tax ₹132 cr, more than three times a year ago. Operating margin 15.3%, up from about 11.5%: that's back near pre-tariff levels.
- New businesses (US utility bedding plus brands) did more than ₹500 cr in the quarter, about 30% of income, double their share a year earlier.
- Bed sheet volume 28 million metres; first-half volume is about half the full-year guidance of 105-110 million metres. Management says it is set to beat its FY27 income and margin guidance.
- Tone: confident. Risks it flagged itself: US trade terms, export demand and running the newer businesses.

Business mix and capacity
Core bed sheet business: about 70% of sales go to the US and 30% to other countries (Q1 FY27 call); the new businesses are all US. So roughly four-fifths of the company's sales end up in America.
US utility bedding plants (Ohio, Arizona, and a new North Carolina plant from Jan 2026) run at about 60-65% utilization, which management expects to hold for FY27: plenty of room before any new capex.

3. Earning trigger thesis

The trigger is the US new business. Management bought and built US pillow and comforter plants and licensed old American bedding brands, and set a target of about USD 275 million of new business revenue by 2028, inside a wider goal of ₹8,000 cr total revenue by CY2028. That new business went from about ₹100 cr in Q3 FY25 to over ₹500 cr in Q2 FY27. On top, the US tariff on India fell to about 10% from a peak of 50%, and the UK and EU trade deals open new duty-free markets for the core bed sheets.

Trigger	What management said	Evidence so far	Time horizon	Strength
US utility bedding and brands	USD 275 mn by 2028; ₹1,500 cr in FY27	₹387 cr in Q1, over ₹500 cr in Q2 FY27: running ahead of plan	FY27-FY28	Strong: it's in the numbers
Core bed sheet volume recovery	105-110 mn metres in FY27, core revenue about ₹4,000 cr	H1 at about half the guidance; volumes up after the tariff year	FY27	Moderate: depends on US trade terms
UK and EU trade deals	Non-US sales up 20%+ in FY27; takes 12-18 months to show	Customer meetings doubled, sales not yet broken out	FY27-FY28	Unproven
Margin back to 15%	About 13% for FY27; 15% for both bed linen and utility bedding at scale	15.3% in Q2 FY27, 14.4% in H1	FY27	Moderate: shipping and cotton costs can bite

3b. Trigger check

Trigger type	Yes/No	What was said (date)
Debt cut	No	Net debt is at a record low (Nov 2026 release), but the call didn't present a repayment plan.
New business	Yes	"rapid scale-up of our new business, which has nearly tripled over the past one year" (13 Aug 2026); over ₹500 cr in Q2 FY27.
Margin up	Yes	"EBITDA margin is on a recovery trajectory, supported by improving operating leverage" (13 Aug 2026); price talks with all customers concluded, "impacts will come from Q2 onwards".
New management	No	Same team; tribute paid to the late Kailash Lalpuria.
New capacity	Yes	North Carolina greenfield utility bedding plant commissioned January 2026 (13 Aug 2026).
Big orders	No	No order book disclosed.
Turnaround	Yes	"Our core business was impacted by the U.S. tariff situation last year. We are now seeing early signs of recovery" (13 Aug 2026).
Promoter buying	No	Not mentioned.

Single concrete driver: the US utility bedding plants and licensed brands like Wamsutta, now about a third of sales, plus bed sheet volumes coming back after the US tariff was cut.

3c. Margin bridge

Operating margin was about 11.5% a year ago and 15.3% in Q2 FY27. It came back because factories ran fuller (fixed costs spread over more sales), the price rises agreed with customers after raw material costs jumped started flowing from Q2, and the tariff hit faded. Management targets about 15% long term for both bed linen and utility bedding, and slightly more for brands. Container shortages and costlier shipping from the West Asia conflict are the swing factor. (lasting)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Q2-Q3 FY25	FY25 volume 100-115 mn metres	106 mn metres, the lower end, as they warned in Q3	Delivered
Q3 FY25	New US business to add about USD 275 mn of revenue in three years	Repeated every quarter since; now running at well over half of it	Delivered so far
Q4 FY25	No FY26 guidance because of tariffs; "2x" revenue ambition kept	FY26 sales fell; they were honest not to guide	Partly
Q1 FY26	Margins back to 16-18% "once things normalize"	FY26 margin about 10%; Q2 FY27 at 15.3%, still short	Too early
Q4 FY26	FY27: about ₹5,500 cr revenue, about 13% margin, 105-110 mn metres, new business ₹1,500 cr	H1 at about half the revenue target and 14.4% margin; set to beat	On track
Q1 FY27	Price hikes from Q2; Bhilad flood losses insured and made up	Q2 margin jumped and volumes held	Delivered

Narrative drift: little. The story since late 2024 has been the same: grow the US new business to USD 275 mn and double the company by 2028. The one change was sensible: they dropped numeric guidance in the tariff year instead of making numbers up, and brought it back once things settled. The 16-18% margin talk was the loosest promise and hasn't shown up yet. Tone has been confident throughout, a bit prickly with analysts at times.

5. Bottom line

Durable earning trigger? YES

The US utility bedding and brand business is real, named, repeated every quarter and already about a third of sales, ahead of the plan's run rate. The tariff cut and UK/EU deals help the core business too. The catch: most of this rides on US consumers and US trade policy, and the stock already prices in a lot.

Management consistent? YES

Volume guidance was met in FY25, the USD 275 mn target has been repeated and tracked openly, and FY27 guidance is on course to be beaten. They didn't promise through the tariff year. The only stretched promise was a 16-18% margin, which remains a target, not a delivery.

6. Checkpoints for next quarter

- New business stays above its Q2 quarterly run rate in Q3
- Operating margin stays above the 13% full-year guidance
- FY27 guidance is formally raised, or at least held, on the Q3 call

Sources: Screener.in transcripts (Q2 FY25 to Q1 FY27) and financials; Q2 FY27 results coverage by DSIJ (4 Nov 2026) and Multibagg. Q2 FY27 call transcript not yet published at the time of writing. Not investment advice. Do your own due diligence.